

ORIGINAL

(S E R V E D)
(January 29, 2004)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

WASHINGTON, D. C.

January 29, 2004

DOCKET NO. 03-13

BAX GLOBAL, INC.

v.

LYKES LINES LIMITED, LLC

COMPLAINT DISMISSED

Complainant BAX Global, Inc. (BAX) has filed a Notice of Dismissal, seeking to have its complaint dismissed with prejudice. BAX cites the corresponding federal rule of civil procedure (Rule 41(a)(1)), which permits plaintiffs to withdraw their complaints if they so wish before an answer to the complaint or a motion for summary judgment has been filed. BAX also cites the Commission rule (46 C.F.R. 502.12) stating that the Commission will follow corresponding federal

rules absent a specific Commission rule “to the extent that they are consistent with sound administrative practice.” BAX also cites Commission cases in which the Commission has approved voluntary dismissals by complainants. As I explain below, I see no reason to decline to dismiss the complaint and, accordingly, dismiss it with prejudice as BAX requests.

In its complaint, BAX alleged that respondent Lykes Line Limited LLC (Lykes) carried two shipments of six containers each from Sweden to Los Angeles, California, that the shipments were detained by U.S. Customs at Los Angeles through no fault of BAX, and that Lykes billed BAX and refused to release the containers until the charges were paid, which charges were paid by the involved trucker, Lincoln Express Services, Inc. BAX alleged that such charges were required to be paid by Lykes according to the applicable Lykes tariff. Accordingly, BAX alleged that Lykes violated sections of the Shipping Act of 1984 (sections 10(b)(2)(A), 10(b)(4)(A), 10(b)(4)(E), and 10(d)(1)) dealing with tariffs, unfair rate practices and practices related to settlement of claims and unreasonable practices related to receipt, handling and delivery of cargo. BAX sought an award of reparations amounting to over \$98,000, which were allegedly paid through the trucker.

Instead of an answer to the complaint, Lykes filed a motion to dismiss, arguing that even if all the facts alleged by BAX were true, BAX would not be entitled to relief under the Shipping Act of 1984 for various reasons, mainly because the complaint did not allege that BAX paid the subject charges rather than the trucker, Lincoln Express Services, Inc., and also that the subject charges were governed by a different tariff which covered the relations between Lykes and Lincoln Express. Lykes sought dismissal of the complaint, stating that “[i]t would appear that the real dispute here is

between BAX and Lincoln, based on a contract or other arrangement to which Lykes is a stranger. Lykes is not a proper party to that dispute.” (Lykes Motion at 4.) In a preliminary ruling I advised BAX that it could file a reply to Lykes’s Motion to Dismiss if it so chose and that if the motion to dismiss were denied, Lykes would not be precluded from commencing discovery against BAX. See rulings issued on January 22, 2004. BAX has chosen not to reply to the motion but instead to advise that it is withdrawing its complaint.¹

BAX is correct that the Commission follows the corresponding federal rules of civil procedure absent a specific Commission rule provided that the federal rules are consistent with sound administrative practice. See 46 C.F.R. 502.12, cited above. BAX is also correct that the Commission has approved voluntary withdrawals of complaints. That has happened in cases in which respondents have filed answers to the complaints as well as in cases in which answers were not filed. See *Shipco Transport, Inc. v. Inter-Maritime Container Lines, Inc.*, 29 S.R.R. 428 (2001) (answer to complaint was filed); Docket No. 01-03 - *Pactrans Air & Sea, Inc. v. Altraco, Inc.* (2001) (unreported) (no answer was filed); *Trek Bicycle Corp. v. Classic Cargo Int’l, Inc.*, 28 S.R.R. 1074 (1999) (answer was filed); *XM International, Inc. v. Brilliant Logistics Group, Inc.*, 29 S.R.R. 1498 (2003) (no answer was filed). In *Trek Bicycle Corp.*, cited above, furthermore, the Commission stated:

¹By not replying to Lykes’s Motion to Dismiss, it could be argued that BAX does not disagree with the claims and arguments made by Lykes in the Motion.

The Commission as well as the federal courts respect the rights of complainants to withdraw or seek dismissal of their complaints as Trek Bicycle requests in the instant case.

The only difference under the federal rules between requests for voluntary dismissal of complaints when answers have not yet been filed and in cases when answers have been filed is that in the first case complainants have an absolute right to dismissal whereas in the second case dismissal is subject to an order of the court which may impose certain terms and conditions. Compare the text of Federal Rule 41(a)(1) (dismissal “without order of court”) with Federal Rule 41(a)(2) (dismissal “upon order of court and upon such terms and conditions as the court deems proper”). See also *Marques v. Federal Reserve Bank of Chicago*, 286 F.3d 1014, 1017 (7th Cir. 2002) (a party does not need a good reason or even a sane reason or any reason for a voluntary dismissal under Rule 41(a)(1)); *Commercial Space Management Co. v. Boeing Co.*, 193 F.3d 1074, 1077 (9th Cir. 1999) (plaintiff has absolute right to voluntarily dismiss his action prior to service by the defendant of an answer or a motion for summary judgment).

In *Trek Bicycle Corp.*, cited above, in which the Commission respected the right of the complainant to withdraw its complaint, the Commission also cited various cases in which the Commission or the courts observed that they would not compel a complainant to litigate its complaint against its will. See *Trek Bicycle Corp.*, 28 S.R.R. at 1075, and cases cited therein, especially *Smoot v. Fox*, 340 F.2d 301 (6th Cir. 1964). In the instant case, I see no reason not to carry

out this policy in the situation presented to me by the pleadings. Accordingly, the complaint is dismissed with prejudice, as complainant requests.²


Norman D. Kline
Administrative Law Judge

²Neither of the parties has represented to me that they have reached a settlement in this case. If they had, such a settlement agreement would have to be examined by this judge to determine if it violated any law or public policy. The reason for this procedure is that the Commission, unlike a court, is a regulatory agency with the duty to enforce the Shipping Act of 1984. The distinction between court rules dealing with withdrawals or dismissals of complaints and the Commission's rules is explained in *XM International, Inc. v. Brilliant Logistics Group, Inc.*, cited above, 29 S.R.R. 1498. In *XM International*, the parties had reached settlement and complainant filed a Notice of Dismissal pursuant to Federal Rule 41(a)(1), as has BAX in the instant case. However, the parties declined to submit their settlement agreement to the presiding judge, believing that not to be necessary under Rule 41(a)(1). However, the judge instructed the parties to submit their agreement and upon examining it, he dismissed the complaint and explained why it was necessary for a regulatory agency like the Commission to examine settlements before agreeing to dismiss complaints, in contrast to the courts' practice in this respect. I am dismissing the instant complaint on the understanding that the parties have not entered into a settlement agreement and that BAX has chosen to seek to have its complaint dismissed by filing a Notice of Dismissal after seeing Lykes's motion to dismiss.